IN THE UNITED STATES DISTRICT COURT
FOR THE DISTRICT OF COLUMBIA

CITADEL SECURITIES LLC, *Plaintiff,* v. CONSOLIDATED AUDIT TRAIL, LLC, *Defendant.*	Case No. 1:26-cv-00134

DECLARATION OF ROBERT WALLEY IN SUPPORT OF DEFENDANT CONSOLIDATED AUDIT TRAIL, LLC'S OPPOSITION TO PLAINTIFF CITADEL SECURITIES LLC'S MOTION FOR PRELIMINARY INJUNCTION

I, Robert Walley, state as follows under penalty of perjury:

1. I am the Chair of the Operating Committee of Consolidated Audit Trail, LLC ("CAT LLC"), in a non-voting, non-management, and solely administrative capacity.

2. I submit this declaration in support of CAT LLC's Opposition to Plaintiff Citadel Securities LLC's Motion for a Preliminary Injunction.

3. In my current role, I am responsible for overseeing the operation of the CAT NMS Plan and the governance of the CAT Operating Committee. My role includes the following activities: liaising between the Operating Committee, the Advisory Committee, outside counsel, SEC staff, and the Plan Processor; facilitating communications between Industry Member groups and the Operating Committee; facilitating Operating Committee meetings, including setting agendas and moderating; and assisting with duties prescribed by the Operating Committee, including reviewing and signing documents on behalf of the Operating Committee upon Operating Committee approval and facilitating other committee, sub-committee, or working-group meetings where relevant as determined by the Operating Committee.

4. I have worked in this role since August 2025. Between 2012 and June 2024, through my role as a Principal in the Banking and Capital Markets group at Deloitte, I was also the lead partner responsible for the project office supporting the Self-Regulatory Organizations in their implementation of the Consolidated Audit Trail ("CAT") as required under SEC Rule 613.

5. In June 2024, I retired from Deloitte and formed Walley Consulting. The focus of this business is to assist organizations in modernizing their regulated operations, implementing enabling technologies, and solving complex issues in the banking and capital markets industry.

A. CAT Fees under the CAT NMS Plan & 2023 Funding Model

6. In 2016, the SEC approved the CAT NMS Plan, which outlines the requirements for the operation of the CAT and also serves as the LLC agreement for CAT LLC. CAT LLC is owned and operated by the Participants to the CAT NMS Plan—that is, the SROs (the exchanges and FINRA).

7. From 2016 through July 2024, CAT LLC was funded by the SROs via interest-free promissory notes totaling $915,618,016. This arrangement was provisional; it was always understood that Industry Members would eventually share CAT costs with SROs and pay back a portion of these loans. The footnotes in the audited CAT LLC Financial Statements for 2021 and 2022 address the pre-2023 funding structure and reflect the SROs' full funding for CAT during that period.

8. On September 6, 2023, the SEC approved a funding model for the CAT; billing under this funding model began in October 2024.[1] The SEC-approved funding model provided that CAT LLC would collect two kinds of fees: historical CAT fees and prospective CAT fees. For each transaction, a third of the fee would be allocated to the participating SRO, buy-side broker-dealer, and sell-side broker dealer. From an accounting perspective, the SROs would thus pay a third of both historical and prospective fees, and Industry Members (i.e., broker-dealers) would pay two thirds; in this Declaration, I generally refer to this one-third/two-thirds allocation to streamline my discussion. Under the funding model, the SROs would submit substantively identical fee filings on behalf of CAT LLC to the SEC under the Rule 19(b) process for SRO rule filings—i.e., by electronically submitting the fees as proposed rule changes using a Form 19b-4. That means all fees—and the underlying budget projections on which they are based—are filed with the SEC and subject to public comment.

9. Historical fees were intended to cover a portion of the CAT costs previously paid by the SROs. These "Historical CAT Costs" were incurred by the SROs prior to July 15, 2024.[2] However, only CAT costs incurred through January 1, 2022, were submitted to the SEC and approved for recovery under Historical CAT Assessment 1 (the first historical fee).[3] Historical CAT

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[1] See Exchange Act Release No. 34-98290, 88 Fed. Reg. 62,628 (Sept. 12, 2023) ("2023 Funding Order").
[2] 89 Fed. Reg. 76,626, 76,626 (Sept. 18, 2024) ("Historical CAT Assessment 1").
[3] The period from January 2, 2022, through July 15, 2024, was subject to a separate financial accountability milestone under the CAT NMS Plan and so not included in Historical CAT Assessment 1.

costs incurred through January 1, 2022, were $401,312,909, less excluded costs of $83,253,090, resulting in $318,059,819.

10. Historical CAT fees were assessed against SROs and Industry Members. The fee rate for Historical CAT Assessment 1 was calculated by dividing the recoverable Historical CAT Costs by the projected total executed share volume of all transactions in eligible securities during the Historical Recovery Period. Industry Members pay fees based on their trading volume to cover their two thirds of the recoverable Historical CAT Costs ($212,039,879).

11. Prospective fees were assessed by CAT LLC to Industry Members and SROs to fund CAT LLC's ongoing costs. Prospective fees serve to fund operating costs and the liquidity reserve. Under the 2023 funding model, CAT LLC set a prospective fee rate twice a year in the following way.

12. To set the prospective rate, first, CAT LLC determined a projection for its budgeted costs for the year. This figure depended on a variety of underlying projections, such as the projected operating fees for FINRA CAT (the Plan Processor for the CAT NMS Plan, which provides for the CAT's operational and technical expenses—including, but not limited to, Amazon Web Services ("AWS") cloud-hosting fees, Customer Account and Information System ("CAIS") and Non-CAIS operating fees, developed technology costs, and license fees) and the anticipated fees for the vendors on which CAT LLC relies. These vendors include CAT LLC's primary service providers: Deloitte, which provides operational support; Anchin, CAT LLC's financial-advisory provider; Grant Thornton, CAT LLC's independent audit firm; and CAT LLC's legal counsel.

13. The 2023 Funding Order authorized CAT LLC to include in its budget a "reserve of not more than 25% of the annual budget."

14. For purposes of calculating fees under the funding model, CAT LLC also established a projection for trading volumes (in terms of total executed equivalent shares) based on

backward-looking data for the prior year.[4] CAT LLC was required to base its projection on the prior twelve months, but could use its discretion to analyze the likely volume for the upcoming year, for instance by using a shorter window of prior data as a reference if the volume over the prior twelve months was unusual or otherwise unfit to serve as the basis of a future volume estimate.

15. CAT LLC then calculated the fee rate: the amount that must be charged per executed equivalent share (based on projected trading volume) in order for budgeted revenues (i.e., anticipated fee receipts) to equal budgeted operating expenses.[5] The overall fee rate was then divided by three and rounded to give the base fee rate that was charged to SROs; Industry Members were charged for two thirds of the overall fee.

16. The prospective fee rate, which was based on a projection at the start of each year, was subject to a mid-year adjustment to take into account actual operating expenses, updated budget information from vendors, and actual collections for prospective fees.[6]

17. The funding model was based on actual and budgeted operating expenses to target a liquidity reserve of 25% of operating expenses for the period. In other words, the aim under the funding model's methodology was to break even while maintaining the 25% reserve amount. The need to use projected figures (including trading volumes outside the SROs' control) inevitably introduced some uncertainty, but any overage in actual fee collections was credited in subsequent fee cycles, by revising later fee rates downward to account for actual collections and cost savings.

18. During the time period for which CAT LLC collected prospective fees, trading volume grew significantly. At the time of the adoption of the CAT NMS Plan, back in 2016, around

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[4] 2023 Funding Order at 62,650-51. See, for example, Nasdaq Stock Market LLC, Form 19b-4, File No. 2024-047 at 9 (Aug. 15, 2024), https://listingcenter.nasdaq.com/assets/rulebook/nasdaq/filings/SR-NASDAQ-2024-047.pdf ("CAT Fee 2024-1 Fee Filing").
[5] See CAT Fee 2024-1 Fee Filing at 9; *How Is a CAT Executing Broker's CAT Fee Calculated?*, Consolidated Audit Trail LLC (updated Sept. 25, 2025), https://www.catnmsplan.com/faq/v4.
[6] 2023 Funding Order at 62,651.

58 billion covered reports per day were anticipated.[7] But by August 2024, the CAT was approaching 1 *trillion* covered reports per day, hitting almost 1.5 trillion in 2025. As another illustration of trade-volume growth, the prospective fee rate set for CAT Fee 2024-1 had been established on an assumption of 30% annual year-over-year volume growth for the transaction database.[8] Actual growth came in much higher: Volumes for Q3 2024 were up 51% relative to Q3 2023, and the average monthly growth rate for 2024 was approximately 50%.[9] Because CAT LLC's entire funding model is based on trading volumes, greater-than-expected volume growth leads directly to greater-than-expected revenue receipts. The approach to handling overages was to revise future fee rates downward, effectively providing SROs and Industry Members an offset for the excess of fees previously collected over operating expenses.

19. CAT LLC has requested multiple cost-saving amendments to and exemptions from the requirements of the CAT NMS Plan, which, to the extent approved by the SEC, have tended to afford CAT LLC an operating surplus relative to the projections on which it had determined its prospective fees.

a. On February 13, 2024, CAT LLC filed a request for exemptive relief from certain provisions of the CAT relating to responses to requests for quotes provided in standard electronic format.[10] The SEC approved this request on May 20, 2024.[11]

b. On March 27, 2024, CAT LLC filed with the SEC a proposed Cost Savings Amendment to the CAT NMS Plan, which was expected to result in approximately $23 million in

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[7] *Id.* at 14 (citing CAT NMS Plan, Appendix D-4 at n.262).
[8] CAT Fee 2024-1 Fee Filing at 12.
[9] CAT Fee 2025-1 Fee Filing at 14-15.
[10] CAT LLC, Request for Exemption from Certain Provisions of the National Market System Plan Governing the Consolidated Audit Trail Related to Electronic RFQ Responses (Feb. 13, 2024), https://www.catnmsplan.com/sites/default/files/2024-02/02.13.24-Exemption-Request-Responses-to-Electronic-RFQs.pdf.
[11] Exchange Act Release No. 34-100181, 89 Fed. Reg. 45,715 (May 23, 2024).

new annual cost savings in the first year by optimizing certain data-storage practices.[12] The SEC approved this Amendment on December 12, 2024.[13]

c. On March 7, 2025, CAT LLC filed with the SEC a proposed amendment relating to the Customer and Account Information System, which would eliminate requirements that Industry Members report certain identifying information for customers and delete previously reported identifying information.[14] This Amendment was estimated to achieve $12 million in annual cost savings. The SEC approved this Amendment on January 13, 2026.[15]

d. On March 24, 2025, CAT LLC filed with the SEC a request to extend previous exemptive relief from provisions of the NMS Plan that would have required the collection of transaction timestamps with a granularity of picoseconds rather than nanoseconds.[16] This requirement would have imposed annual costs of approximately $1 million. The SEC approved this request on May 2, 2025.[17]

e. On December 17, 2025, CAT LLC filed with the SEC another proposed Cost Savings Amendment, which was expected to yield $55-73 million in annual savings.[18] The SEC has not yet taken action on this proposal.

20. When CAT LLC takes steps to implement cost-saving measures, the amount and timing of any realized savings is uncertain. As the dates just listed show, each request for an amendment or exemptive relief requires consideration by the SEC and comments from interested parties, which means the approval process can be slow. And in some cases, changes that would accrue savings for the systems operated for CAT LLC involve trade-offs that would result in higher

[12] Exchange Act Release No. 34-99938, 89 Fed. Reg. 26,983 (Apr. 10, 2024).
[13] Exchange Act Release No. 34-101901, 89 Fed. Reg. 103,033 (Dec. 18, 2024).
[14] Exchange Act Release No. 34-102665, 90 Fed. Reg. 12,845 (Mar. 19, 2025).
[15] Exchange Act Release No. 34-104586, 91 Fed. Reg. 2,164 (Jan. 16, 2026).
[16] CAT LLC, Request for Exemption from Certain Provisions of the National Market System Plan Governing the Consolidated Audit Trail Related to Timestamp Granularity (Mar. 24, 2025), https://catnmsplan.com/sites/default/files/2025-03/03.24.25-CAT-Exemption-Request_Timestamp-Granularity.pdf.
[17] Exchange Act Release No. 34-102980, 90 Fed. Reg. 19,334 (May 7, 2025).
[18] Exchange Act Release No. 34-104504, 90 Fed. Reg. 61,506 (Dec. 31, 2025) ("2025 Proposed Cost Savings Amendment").

costs for Industry Members. For example, based on input from Industry Members (including Citadel Securities LLC), CAT LLC removed certain measures initially included in the 2025 Proposed Cost Savings Amendment. The modified proposal based on industry feedback is anticipated to save approximately $15 million less in annual CAT costs than CAT LLC's original proposal.[19]

21. CAT LLC did not incorporate the possible savings afforded by these proposals into the budget calculations until the proposals are approved by the SEC. The result is that even after potential cost savings were identified and proposed, it could take months for these savings to be approved and incorporated into the next budget and so translate into a lower Prospective fee rate.

B. Calculation of 2024 and 2025 CAT Fees

22. There was extensive communication to the industry about each new CAT fee. Each new CAT fee was publicly noticed by the SEC.[20] FINRA CAT published a fee alert announcing each fee.[21] CAT LLC also held industry meetings at which the budget was discussed.

i. CAT Fee 2024-1

23. The CAT LLC Operating Committee agreed on prospective fees for the 2024 billing cycle, known as "CAT Fee 2024-1," on July 31, 2024.[22]

24. CAT LLC issued a fee alert for CAT Fee 2024-1 on August 1, 2024. CAT Fee 2024-1 imposed on broker-dealers a fee rate of $0.000035 per executed equivalent share, starting in September 2024. The CAT Fee Alert for CAT Fee 2024-1 referred to CAT's budgetary authority under the 2023 funding model, under which CAT Fee 2024-1 was calculated.

25. The SROs' implementing fee filings under Rule 19b-4 contained an explanation of CAT LLC's calculations underlying this fee.[23]

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[19] 2025 Proposed Cost Savings Amendment at 61,510.
[20] See, for example, Exchange Act Release No. 34-102111, 90 Fed. Reg. 2,043 (Jan 10, 2025).
[21] *CAT Fee Alerts*, CAT LLC (accessed Jan. 27, 2026), https://www.catnmsplan.com/cat-fee-alerts.
[22] CAT NMS Plan, CAT Fee Alert 2024-1 (Aug. 1, 2024), https://www.catnmsplan.com/sites/default/files/2024-08/08.01.24-CAT-Fee-Alert_2024-1.pdf.
[23] See, for example, CAT Fee 2024-1 Fee Filing.

26. CAT Fee 2024-1 was based on the figures that had been separately reported in CAT LLC's Updated 2024 Budget, which included projected costs and trading volumes from July 16, 2024, through the end of the year.[24]

27. CAT Fee 2024-1 budgeted $76,278,426 for cloud-hosting services costs during the CAT Fee 2024-1 period (that is, the last two quarters of 2024).[25] This figure accounted for a significant portion of the subtotal (pre-reserve-adjustment) budgeted costs of $110,781,540. The cloud-hosting services cost estimate assumed substantial continued volume growth in the transaction database and a base cloud-hosting cost that corresponded to the cloud-hosting cost for the first two quarters of 2024.

28. The fee rate of $0.000035 per executed equivalent share announced in the 2024-1 Fee Alert represents the overall fee rate calculated to cover CAT LLC's adjusted anticipated expenses, of which SROs are responsible for one third of the overall fee rate and Industry Members are responsible for two thirds (split between buy-side and sell-side broker-dealers).[26]

29. CAT Fee 2024-1 included the "Reserve" as a line item in the table showing "Budgeted CAT Costs 2024-1," which was included as part of the public statement of the calculations underlying CAT Fee 2024-1.

30. Citadel Securities LLC did not challenge the 2024 fee filing's treatment of the reserve at the time.

[24] CAT LLC, 2024 Financial and Operating Budget Mid-Year Update (July 31, 2024), https://www.catnmsplan.com/sites/default/files/2024-08/07.31.24-CAT-LLC-2024-Financial_and_Operating-Budget.pdf.
[25] CAT Fee 2024-1 Fee Filing at 12.
[26] *Id.* at 8, 62.

ii. CAT Fee 2025-1.

31. As provided in the funding model, CAT Fee 2024-1 was eventually superseded by CAT Fee 2025-1.[27] The SROs submitted Rule 19b-4 fee filings to the SEC establishing this fee on January 2, 2025.[28]

32. CAT Fee 2025-1, like CAT Fee 2024-1, was calculated under the 2023 funding model, and the calculations were similarly publicized in the SROs' 19b-4 forms.

33. CAT Fee 2025-1 revised the fee rate assessed to $0.000022 per executed equivalent share, a nearly 40% reduction from CAT Fee 2024-1 (where the fee rate was $0.000035 per executed equivalent share). This represented the overall fee rate allocated one third to the SROs and two thirds to Industry Members (one third to buy-side broker-dealers and one third to sell-side broker dealers), calculated on the basis of the reasonably budgeted total CAT costs for the following period.

34. This downward revision reflected the fact that fee collections for the prior period had been substantially higher than anticipated when the prior period's fee rate had been set. That was mainly the result of (1) higher-than-expected trading volumes and (2) lower-than-expected operating costs, particularly AWS costs, and other cost-savings initiatives.

35. On the cost side, CAT LLC recognized a favorable variance of $10,084,698 for budgeted versus realized cloud-hosting services with AWS for the period from July 16, 2024, through September 30, 2024. This favorable variance was reported in the public reserve calculation.[29] The favorable variance in web hosting costs was the result of CAT LLC and FINRA CAT's prepaid purchase of AWS capacity at a lower rate, rather than paying on an as-you-go basis at a higher rate.

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[27] CAT LLC, CAT Fee Alert 2025-1 (Jan. 28, 2025), https://www.catnmsplan.com/sites/default/files/2025-01/01.28.25-CAT_Fee_Alert_2025-1.pdf.

[28] See, for example, Nasdaq Stock Market LLC, Form 19b-4, File No. 2025-002 (Jan. 2, 2025), https://listingcenter.nasdaq.com/assets/rulebook/nasdaq/filings/SR-NASDAQ-2025-002.pdf ("CAT Fee 2025-1 Fee Filing").

[29] See CAT Fee 2025-1 Fee Filing at 31.

36. Moreover, CAT LLC had begun to implement exemptive relief that had been previously requested and subsequently received from the SEC.[30] Implementation of this exemptive relief helped cut web-hosting costs even more because it permitted CAT LLC to cease collecting certain categories of data, such as options quotes, whose collection was originally mandated by the CAT NMS Plan and which took up immense amounts of storage, but which were not ultimately useful for any of the CAT's practical purposes.[31]

37. CAT LLC had an additional cost-saving proposal pending before the SEC while it was developing CAT Fee 2025-1, but the impact of that proposal—estimated to save $27.5 million annually—was not reflected in the budget used to calculate that fee because it was not certain whether the SEC would approve it.[32]

38. Meanwhile, trading volumes continued to grow even more quickly than expected.

iii. CAT Fee 2025-2.

39. In June 2025, the SROs submitted fee filings to the SEC to establish CAT Fee 2025-2.[33] The new fee rate was $0.000009 per executed equivalent share, another sharp revision downward (reduced nearly 60% from the $0.000022 rate under CAT Fee 2025-1).[34] That lower fee rate took effect from August 2025.

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[30] See, for example, Exchange Act Release No. 34-98848 (Nov. 2, 2023), https://www.catnmsplan.com/sites/default/files/2023-11/11.02.23-SEC-Granting-Exemptive-Relief-of-Certain-Requirements-of-the-CAT-NMS-Plan.pdf; Exchange Act Release No. 34-100181 (May 20, 2024), https://www.catnmsplan.com/sites/default/files/2024-05/05.20.24-SEC-Granting-Exemptive-Relief-Related-to-Responses-to-Electronic-RFQs.pdf.

[31] See 2025 Proposed Cost Savings Amendment at 61,507 n.7.

[32] CAT LLC, 2025 Financial and Operating Budget at 2 n.6 (Nov. 20, 2024), https://www.catnmsplan.com/sites/default/files/2024-11/11.20.24-CAT-LLC-2025-Financial_and_Operating-Budget.pdf.

[33] See CAT LLC, CAT Fee Alert 2025-2 (May 29, 2025), https://catnmsplan.com/sites/default/files/2025-05/05.29.25-CAT-Fee-Alert-2025-2.pdf ("CAT Fee Alert 2025-2"); for example, Nasdaq Stock Market LLC, Form 19b-4, File No. 2025-049 (June 30, 2025), https://listingcenter.nasdaq.com/assets/rulebook/nasdaq/filings/SR-NASDAQ-2025-049.pdf ("CAT Fee 2025-2 Fee Filing").

[34] *Id.* at 1.

40. In announcing this new revision, CAT LLC explained that the revision was "due partially to" a "surplus reserve offset." The Fee Alert noted the "collection of CAT fees in excess of the budgeted CAT costs for 2025 in light of the greater actual executed equivalent share volume than the projected executed equivalent share volume for CAT Fees 2024-1 and 2025-1." The Fee Alert also noted "a reduction in anticipated budgeted costs associated with the implementation of savings measures approved by the SEC pertaining to the processing of options market maker quotes and the storage of certain data."

41. The SROs' fee filings similarly explained that the budgeted costs for cloud-hosting services for the third and fourth quarters had been revised downward due to (1) a decrease in costs related to changes made pursuant to the Cost Saving Amendment to the CAT NMS Plan approved by the SEC in December 2024, (2) cost decreases related to optimizations resulting in reduced processing and storage costs, and (3) storage volume increases below the initial projection.[35] This decrease can be compared with the assumptions in the fee filings for CAT Fees 2024-1 and 2025-1, which had both assumed continued growth in cloud-hosting costs.[36]

42. In July 2025, the Eleventh Circuit vacated the 2023 funding model. The Eleventh Circuit stayed its judgment for sixty days following the issuance of the mandate, which issued on September 30, 2025. As a result, CAT LLC issued its last invoices on December 26, 2025, covering fees through November. CAT LLC announced on December 18, 2025, that no further invoices would be issued until further notice.[37] To be clear, CAT LLC did not seek or collect fees for any trading activity after the Eleventh Circuit's judgment went into effect. Also, as the above-recounted history demonstrates, CAT LLC set its fees and assembled its underlying budgets prior to the Eleventh Circuit's judgment going into effect.

43. Were the funding model still in place, based on trends from 2024 and 2025, CAT LLC would have continued to revise fees downward to avoid further overcollection and provide a

[35] CAT Fee 2025-2 Fee Filing at 16-17.
[36] See CAT Fee 2024-1 Fee Filing at 11-12; CAT Fee 2025-2 Fee Filing at 14-15.
[37] CAT LLC, Monthly CAT Update at 12 (Dec. 18, 2025), https://www.catnmsplan.com/sites/default/files/2025-12/12.18.25-Monthly-CAT-Update-Final.pdf.

reduction to covered parties for historical overcollections. Again, the prospective fee rate had fallen from $0.000035 per executed equivalent share in September 2024 to $0.000009 per executed equivalent share in August 2025, a total reduction of over 74%. The prospective fee rate for 2026 would probably have been even lower, especially given the anticipated approval of the 2025 Proposed Cost Savings Amendment and continued grants of exemptive relief by the SEC.[38]

C. Funding the CAT in the absence of a funding model

44. Without collecting revenue from fees, CAT LLC presently has no revenue streams (besides interest income from bank-account balances).

45. CAT LLC proposed a new funding model to the SEC shortly after the Eleventh Circuit issued its decision; that proposal is pending.

46. After CAT LLC ceased collecting fees in light of the Eleventh Circuit's judgment, CAT LLC began covering its operating costs using the reserve. Its budgets published in November and December 2025 reflected this.

47. CAT LLC's updated 2025 financial and operating budget, published on November 7, 2025, reflected a reduction in fee revenue in the fourth quarter, anticipating that fee billings would cease when the Eleventh Circuit's judgment went into effect.[39] At the same time, the "Estimated Liquidity Reserve Balance" row showed a parallel dip in the reserve in the fourth quarter—showing that the reserve would be covering expenses in lieu of fee revenue.

48. Similarly, the 2026 financial and operating budget that CAT LLC published on December 11, 2025, showed *no* revenue from fees and a steadily decreasing "Estimated Liquidity Reserve Balance"—indicating that the reserve would be spent down to cover costs in the absence of fee revenue.[40]

[38] See 90 Fed. Reg. 61,506; 90 Fed. Reg. 47,853 (Oct. 2, 2025).
[39] CAT LLC, Revised 2025 Financial and Operating Budget (Nov. 7, 2025), https://www.catnmsplan.com/sites/default/files/2025-12/12.22.25_CAT-LLC-2025-Finacial_and_Operating-Budget.pdf .
[40] CAT LLC, 2026 Financial and Operating Budget (Dec. 11, 2025), https://catnmsplan.com/sites/default/files/2025-12/12.08.25-CAT-LLC-2026-Financial_and_Operating_Budget.pdf.

49. On December 18, 2025, I wrote to Vanessa Countryman, Secretary of the SEC, to explain that as a result of the Eleventh Circuit's decision, "the CAT's operations must be funded through its limited operational reserve."[41] This letter was made public.

50. Based on CAT LLC's present spending rate, which approximates $13 million per month, I anticipate that the reserve is sufficient to cover operating expenses through a portion of 2026.

51. All reserve spending is being used to cover CAT LLC's ongoing operating costs. It is not being used to repay SROs' historical loans to CAT LLC or any other incidental costs incurred by the SROs in connection with the operation of the CAT.

I certify under penalty of perjury that the foregoing is true and correct.

Dated: January 30, 2026

By: Robert Walley

[41] Letter from Robert Walley, CAT NMS Plan Operating Committee Chair, to Vanessa Countryman, SEC (Dec. 18, 2025), available at https://www.sec.gov/comments/4-698/4698-685927-2125515.pdf.